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How to Use Your S-Corp Salary & Audit Safety Starter Kit

You bought a guide that explains how S-Corps actually work.

This kit helps you apply it.

Use it in this order.

Step 1 – Read the Guide First

The book explains:

- What an S-Corp really is
- Why salary controls everything
- What actually saves taxes
- What gets people into trouble

If you skip this step, you'll miss the big picture.

This kit assumes you understand that salary comes first.

Step 2 – Run the Online Salary Stress Test

Before touching any strategy, run the calculator.

Go to: <https://businessiqedge.com/stresstest>

Use your real numbers.

This helps you see:

- If you may be overpaying payroll tax
- If your salary may be too low
- If you might need deeper documentation

This is not a final answer.

It's a directional tool.

If the numbers move meaningfully, your salary deserves attention.

Step 3 – Review the Accountable Plan Section

If you reimburse yourself for:

- Mileage
- Home office
- Business phone
- Supplies

Use the Accountable Plan template and Quick Guide.

Key rule:

Reimburse documented business expenses from the business account.

Do not use flat allowances.

Do not guess.

Do not “net” it in bookkeeping.

Documentation and cash movement matter.

Step 4 – Review the Augusta Rule Toolkit (If Applicable)

Only use this section if:

- You own a home
- You plan to rent it to your S-Corp
- You understand the 14-day hard limit

The checklist and rental agreement help with structure.

This strategy works when:

- The rent is reasonable
- The business purpose is legitimate
- Documentation is clean

It fails when documentation is sloppy.

Step 5 – Keep Your Records Organized

Keep copies of:

- Signed plans
- Rental agreements
- Expense reports
- Receipts
- Proof of payment

Most audit problems aren't aggressive strategies.

They're missing paperwork.

Final Reminder

This kit is educational.

It does not replace professional review.

Every strategy in this kit assumes your salary is reasonable.

If your salary is wrong, every tax savings number is wrong.

Start there.

Everything else builds on that.